Police and the Air Research Centre (a cover name for the air arm). The three men who have headed the DGS since the creation of the office in 1965 have all been drawn from the police, other elite civil services, and the three military services. The DGS has a good working relationship with other governmental security organizations as well as with the military.

On 24 May 1974, Paul V. Walsh, acting deputy director of intelligence, said that they had prepared a study that presented a stark picture of India's future. Walsh alleged that staffers, while analysing intelligence on India, clung to an extraordinarily optimistic view of India's future despite the weight of evidence to the contrary and had succeeded in mucking up earlier analyses of India's problems. Walsh argued that virtually all observers of the Indian subcontinent would agree that the problems confronting the Indian government would become extremely serious over the next few years. After the invasion of Afghanistan by Soviet forces and the collapse of the Shah in Iran, the strategic significance of the South Asian region for the US global interests had heightened. A secret Indian government report made it clear that India would not tolerate any foreign military presence under any pretext. In 1979, the Soviet Union, Poland and Czechoslovakia showed great interest in strengthening bilateral economic relations with India. To that end, these countries decided to restructure their import-export strategy towards India, taking into account the changed profile of India's industry and economy. The Janata Party government led by Morarji Desai was wary of spies and their methods, but bureaucrats in the Ministry of External Affairs (MEA) praised Desai's diplomatic niceties. A note prepared in June 1979 said: